

TechCorp Industries Ltd.

Annual Sustainability Report Financial Year 2026 (FY2026)

Prepared in accordance with GRI Standards 2021
SASB Technology & Communications Sector

Report Period: April 1, 2025 - March 31, 2026

Published: June 15, 2026

1. EXECUTIVE SUMMARY

TechCorp Industries is pleased to present our FY2026 Sustainability Report, demonstrating our continued commitment to environmental stewardship and sustainable business practices. This report covers our environmental performance across key metrics including greenhouse gas emissions, energy consumption, water management, and waste reduction.

Key Highlights for FY2026:

- Scope 2 emissions reduced to 37,800 tCO₂e (16% reduction from FY2023 baseline)
- Renewable energy share increased to 28% of total consumption
- Energy intensity improved to 74.5 MWh per million USD revenue
- Water withdrawal reduced to 425,000 cubic meters
- Waste diversion rate achieved at 78%

We acknowledge that while significant progress has been made in most areas, our renewable energy adoption has fallen slightly short of our 30% target. We have initiated additional solar PPA contracts expected to close in Q1 FY2027.

2. GREENHOUSE GAS EMISSIONS

GRI 305: Emissions

TechCorp reports GHG emissions in accordance with the GHG Protocol Corporate Accounting and Reporting Standard. Emissions are reported using the market-based method for Scope 2, as required by our green loan covenants.

2.1 Scope 1 Emissions (Direct)

Scope 1 emissions include direct emissions from company-owned facilities, fleet vehicles, and on-site fuel combustion.

FY2023 (Baseline): 12,500 tCO₂e

FY2024: 12,100 tCO₂e

FY2025: 11,800 tCO₂e

FY2026: 11,200 tCO₂e

Reduction from baseline: 10.4%

Key driver: Fleet electrification program (35% of fleet now electric)

2.2 Scope 2 Emissions (Indirect - Energy)

Scope 2 emissions are calculated using the market-based method, accounting for renewable energy certificates (RECs) and power purchase agreements (PPAs).

FY2023 (Baseline): 45,000 tCO₂e

FY2024: 43,200 tCO₂e

FY2025: 40,500 tCO₂e

FY2026: 37,800 tCO₂e

Reduction from baseline: 16.0%

The 16% reduction exceeds our loan covenant target of 15% by FY2026. This was achieved through a combination of renewable energy procurement (solar PPA with SunPower Corp.), energy efficiency improvements across 3 major manufacturing facilities, and operational optimization.

2.3 Scope 3 Emissions (Value Chain)

Scope 3 emissions cover categories 1-7 of the GHG Protocol.

FY2023: 125,000 tCO2e

FY2024: 122,000 tCO2e

FY2025: 118,000 tCO2e

FY2026: 115,000 tCO2e

Reduction from baseline: 8.0%

3. ENERGY MANAGEMENT

GRI 302: Energy

3.1 Total Energy Consumption

FY2023 (Baseline): 850,000 MWh

FY2024: 835,000 MWh

FY2025: 810,000 MWh

FY2026: 795,000 MWh

Total reduction: 6.5% from baseline

3.2 Renewable Energy Share

Renewable energy as a percentage of total energy consumption:

FY2023 (Baseline): 18%

FY2024: 21%

FY2025: 25%

FY2026: 28%

While we have made significant progress from our 18% baseline, we acknowledge that the FY2026 result of 28% falls short of our 30% covenant target. The shortfall is primarily due to delays in commissioning our 50MW solar installation in Gujarat, which is now expected to be operational by Q2 FY2027. Upon full commissioning, our renewable energy share is projected to reach 34%.

Renewable Energy Sources Breakdown (FY2026):

- Solar PPA: 15% of total consumption
- Wind Power (RECs): 8% of total consumption
- Biomass: 3% of total consumption
- Hydroelectric: 2% of total consumption

3.3 Energy Intensity

Energy intensity measured as MWh per million USD revenue:

FY2023 (Baseline): 85.0 MWh/M USD

FY2024: 81.2 MWh/M USD

FY2025: 77.8 MWh/M USD

FY2026: 74.5 MWh/M USD

Improvement from baseline: 12.4%

This exceeds our covenant target of 10% improvement (76.5 MWh/M USD). Key initiatives driving this improvement include LED lighting retrofits, HVAC optimization, smart building management systems, and process electrification in manufacturing.

4. WATER MANAGEMENT

GRI 303: Water and Effluents

4.1 Total Water Withdrawal

FY2023 (Baseline): 500,000 m3

FY2024: 480,000 m3

FY2025: 455,000 m3

FY2026: 425,000 m3

Reduction from baseline: 15.0%

While we have achieved a 15% reduction, this falls short of our 20% covenant target (400,000 m3). The gap of 25,000 m3 is attributed to increased production volumes in our semiconductor division. We have invested USD 5 million in a closed-loop water recycling system at our Bangalore facility, expected to deliver an additional 50,000 m3 annual savings starting FY2027.

4.2 Water Recycling

Water recycled and reused:

FY2023: 75,000 m3 (15% of withdrawal)

FY2024: 95,000 m3 (19.8% of withdrawal)

FY2025: 110,000 m3 (24.2% of withdrawal)

FY2026: 130,000 m3 (30.6% of withdrawal)

5. WASTE MANAGEMENT

GRI 306: Waste

5.1 Total Waste Generated

FY2023: 25,000 tonnes

FY2024: 24,200 tonnes

FY2025: 23,500 tonnes

FY2026: 22,800 tonnes

5.2 Waste Diversion Rate

Waste diverted from landfill as a percentage of total waste:

FY2023 (Baseline): 60%

FY2024: 65%

FY2025: 72%

FY2026: 78%

The FY2026 waste diversion rate of 78% exceeds our covenant target of 75%. This was achieved through expanded recycling programs, partnerships with certified waste management vendors, and implementation of a zero-waste-to-landfill policy at 2 of our 5 major facilities.

Diversion Breakdown (FY2026):

- Recycling: 52% (11,856 tonnes)
- Composting: 12% (2,736 tonnes)
- Waste-to-Energy: 14% (3,192 tonnes)
- Landfill: 22% (5,016 tonnes)

6. ESG PERFORMANCE SUMMARY TABLE

KPI	FY2023	FY2025	FY2026	Target
Scope 1 (tCO2e)	12,500	11,800	11,200	N/A
Scope 2 (tCO2e)	45,000	40,500	37,800	38,250
Scope 3 (tCO2e)	125,000	118,000	115,000	N/A
Renewable Energy %	18%	25%	28%	30%
Energy Intensity	85.0	77.8	74.5	76.5
Water (000 m3)	500	455	425	400
Waste Diversion %	60%	72%	78%	75%

7. ASSURANCE STATEMENT

This report has been subject to limited assurance by Ernst & Young LLP in accordance with ISAE 3000 (Revised). The assurance engagement covered Scope 1, Scope 2 emissions, energy consumption, and water withdrawal data.

Signed: Dr. Priya Sharma, Chief Sustainability Officer

Date: June 15, 2026